

## The One Percent Per Week TQQQ Trading Strategy:

### WANTING MORE

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With some 30 articles on the **One Percent Per Week** (OPPW) TQQQ trading strategy, with several walk-forwards and out-of-sample simulations, with numerous descriptions of its inner workings, it is now time to enhance this trading strategy and increase its future potential.

I see my OPPW trading strategy within anyone's reach, provided they have the determination, perseverance, and means to execute it. This is a tool that can help you achieve your investment or retirement goals of becoming financially independent and more.

My objective, in wanting more, is to add new features without compromising the trading philosophy or intrinsic benefits of the strategy. I will strive to enhance overall performance without overfitting or remodeling past anomalies or infrequent price patterns. Additionally, I want to prioritize the type of modifications that will yield the most results and focus on those first.

My version of the OPPW strategy, in its current state, operates whatever the market conditions. It makes no predictions and uses no market data (fundamental or technical) except for price in its trading procedures.

For a brief recap, the strategy buys TQQQ shares on the first trading day of the week at the open and sells at the closing price on the last trading day of the week (typically Mondays and Fridays). During the week, the program can sell the shares at its preset profit target or, at the breakeven price, if the breakeven stop loss is activated. That is the totality of the program procedures.

Even if not often expressed, a central point in all my articles on the OPPW strategy is that it speculates on the weekly volatility of TQQQ. It does not predict the rise or fall of the price for the week. It does not follow any trends. It only takes a position and will close it no later than the last trading day of the week at the close of trading.

You might not know how much volatility there will be during the week or in which direction, but you know it will be there. TQQQ's price will fluctuate all over the place, whether you like it or not. It is not an ETF that will remain at the same price week after week or even day to day. It is highly volatile.

A 2.5% price move in QQQ during the week will likely translate into a ~7.5% swing in TQQQ, which leverages QQQ by a factor of three. Over a week, QQQ could swing

even more. For example, a  $\pm 5\%$  move in QQQ will give close to a  $\pm 15\%$  move in TQQQ, which is closer to TQQQ's historic average weekly volatility. It is what the strategy attempts to exploit: TQQQ's weekly volatility under uncertainty.

From the trading procedures, every first trading day of the week, at the open, we go all-in and take a position — the same as putting a bet on the table. And from the start of any of those trades, we do not know how it will do over the week.

In any short-term trading strategy, we have to make our bets and put money at play with no assurance of the outcome other than expectations and uncertain probabilities. One thing is sure: no bet means no gain and also no loss.

If you want to win, you will have to participate in the game; that is, put money on the table. The same applies to anyone buying SPY, DIA, QQQ, or any other stock portfolio that will hold its positions for the long term.

Since a 15-year OPPW simulation has shown a close to 51% hit rate on those weekly trades; we should not expect more unless we make changes to the trading procedures. Figure #1, at the end of the article, shows a 50.87% win rate on 802 trades, which took 15.42 years to achieve.

Over the last 15 years, the strategy's trading procedures have acquired "trading habits", with portfolio metric averages that have reached the status of long-term averages.

In the future, the market is likely to continue behaving as it has in the past over multiple decades. Restating: You will not know in advance the return on your short-term trades, but you will expect a long-term positive outcome. It is why you stand ready to put more money on the table, knowing that over the long term, it will pay off.

I also expect we stand ready to accept randomness; *only if it pays off* in the end. It is the only real point to be made. If you win the game, does it matter if you won by speculating on probable and unexpected outcomes?

Also worth considering is that a 51% hit rate is unlikely to grow your portfolio significantly. You would have to play 100 trades before getting your expected one-trade advantage. Using my OPPW strategy, it will take slightly less than two years to reach the 100-trade target ( $52 \times 2 = 104$  trades).<sup>1</sup>

One of the tasks in restructuring the OPPW strategy should be to improve the hit rate, aiming for a target of 56% to 58% or even better. However, increasing the number of trades might not be sufficient; you will also want to improve the average percent win

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<sup>1</sup> See [THE EXPECTED UNEXPECTED](#).

on profitable trades at the same time.

Whatever new trading habits you want your strategy to gain, it should also apply to its past market data. If your new procedures do not elevate past performance levels, why were they needed? But, more importantly, what would be the justification they might apply in the future if they did not apply in the past?

Looking at stock trading as if it were a game where chance might play a significant role is not what people would like to consider when they intend to "invest" in the market for the long term. They do not want their future to be in the hands of chance. And I can easily understand that.

Are you playing a stock market game? Well, as in many other areas, it all depends on our knowledge and perspective (short-term and long-term). The nature of the game will change as you increase the investment period and the size of the portfolio at stake.

Yet, you can have a long-term view of your investment methods while still trading on a short-term basis. It is like someone building a real estate portfolio by buying and selling housing units. What will matter is the long-term vision, just as in managing a stock portfolio.

It is also what my OPPW strategy does. It has a long-term view of the market and will speculate, week after week, on short-term trades. Trades lasting a few days to at most one week.

It is the long sequence of such trades that makes up the strategy's long-term appeal, primarily due to its expected long-term and higher-than-average market returns.

The strategy aims for 1% per trade over the years:  $F(t) = F_0 \cdot (1 + 0.01)^{52} - 1 = 0.677$ . That is an average annual long-term return of 67.7%. According to my latest portfolio results, the strategy achieved an average return of 1.02% per trade<sup>2</sup> over 802 trades (about 15.43 years).

Long-term investors seek information that justifies their decisions, which can include market fundamentals, macroeconomic or microeconomic financial data, analyst reports, technical indicators, or market folklore citations they might prefer.

Statements like "buy low and sell high" and "the price will go up tomorrow if it does not go down" are of no consequence, as they state nothing at all when you cannot predict tomorrow's price with any accuracy.

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<sup>2</sup> Refer to Figure #1 at the end of the article.

Long-term investors are ready to take long-term positions in the market. Nonetheless, they still make long-term bets, having uncertain futures. Changing the name does not make any of those bets instant winning investments. Otherwise, we would all be looking for the people who are *certain* they will win their bets, and we would duplicate and amplify their moves, whether we have long or short-term expectations on those bets.

The market is a complex risk and wealth exchange mechanism played out by millions of people and computer programs. That someone buys the shares you want to sell; as long as you sold your shares, what the buyers think is not important to you. While the long-term buyer finds himself lucky to have purchased your shares at such a relatively low price, thinking he got a bargain with the potential to make money on the deal.

A question could be: what if the buyer was right? Why did you sell and not do the same as the buyer and increase your position? The future will tell who had the best deal.

We should ask the question: *How and why should this trading strategy work?* It is indeed a legitimate question that needs an answer.

There is so much fraud in the stock market that you should always be skeptical of any proposition you encounter, especially if it looks like it is too good to be true. However, in this case, you are the one in charge. You have a copy of my TQQQ trading program<sup>3</sup> and can verify it all. You will be the one making the decisions, and the outcome will ultimately benefit you. The money will be in your trading account with no outside intermediaries.

You will be dealing with tangible assets that can be converted into cash instantly. You will be the one responsible for your portfolio, no one else. That is why I suggest you study the inner workings of this trading strategy and understand why and how it operates based on its trading rules.

The task will require your determination and perseverance to accomplish it over the next 15 to 20 years or more. You can even do this while in your retirement. You will need to have trust in yourself.

Start with any amount; the program is 100% scalable. Override the program and its procedures at will. Add or remove funds as needed and at your convenience. Skip a few weeks here and there for whatever reasons. You are not required to participate in the game at all times; you have no obligation to do so. However, what you will need is the confidence in yourself to carry it all out for the duration, knowing that some weeks you will win and others you will not.

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<sup>3</sup> See [Gain Your Financial Freedom](#). Includes the WL8 program.

If you delay putting the strategy to work, it won't be the first year that matters; it will be year 15 and beyond. The opportunity cost will increase with every passing year. Delaying one year will make the 15<sup>th</sup> year your 16<sup>th</sup> year. We can give that added year some value.

For example, we could have:  $\$100,000 \cdot [(1 + 0.50)^{16} - (1 + 0.50)^{15}] = \$65,683,645$ . It is not the \$50,000 of the first year that will matter so much, but the 16<sup>th</sup> year that was neglected or delayed. The opportunity costs get to be even higher if you delay 5 years:  $\$100,000 \cdot [(1 + 0.50)^{20} - (1 + 0.50)^{15}] = \$332,525,235$ . Regardless, it is up to you to decide whether you would like to do it or not. You are in charge.

If you cannot withstand a 10% drop in your portfolio, consider alternative investment methods with lower volatility, as you will encounter them in trading TQQQ. It is not a question of whether you will have drawdowns; you will have them. If you look at the end reward, you might find the ride more than worthwhile, even though you will have a bumpy ride.

Take the time to understand how this trading strategy works. Paper trade for 6 months to a year to see how it behaves, and especially find out how you would react to those price swings. Start small, and as your confidence grows, increase the stakes. If you are tired of the game, close your position and shut the program. It is all under your control.

My OPPW strategy has few moving parts. It operates on the premise that there will be a tomorrow. It is an optimistic trading strategy that makes its bet every Monday, independent of market conditions. But it is also a strategy that easily chickens out. At the first sign of weakness (closing the day lower than the entry price), it wants out and will issue a sell limit order the next day at the entry price to break even.

## MY OPPW TRADING STRATEGY

To recall, my TQQQ strategy has 4 types of trades, classified based on their outcomes.<sup>4</sup>

**Type-A** trades are always positive and generate more than 7% profit during the week. There are about 17% of trades (or about 9 per year) that will fall into that category. To give an idea of the magnitude of that 7%, if annualized, it would be  $(1+0.07)^{52} = 33.72$  or 3,372% per year. However, do not worry; you will not achieve that annualized return, as 3 other types of outcomes will bring it down.

**Type-B** trades are also profitable but will generate less than 7% profit per trade. Their exit is on Friday's close. These trades are the money makers. The explanation is in Type-C trade. Type-B trades account for 34% of trades or approximately 18

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<sup>4</sup> Refer to my free paper: [The One Percent Per Week TQQQ Trading Strategy: MY EQUATION](#).

trades per year.

**Type-C** trades are the breakeven trades. If the price of TQQQ closes below the entry price, a sell limit order is issued the next day at the entry price to break even. Type-C trades make no money, but they also do not incur any losses. It is like making a bet and realizing that the bet might go sour; you take your bet off the table, thereby limiting your potential loss. I find this feature the most valuable of this trading strategy even though it generates no profits at all (about 28% of trades will fall into this category, resulting in about 15 per year).

**Type-D** trades are the losing trades, all of them. About 20% of trades fall into this category or around 10 trades per year. Type-D trades almost cancel out the outcome of Type-A trades. All Type-D trades exit on Friday's close (refer to the **MY EQUATION** paper).

The simulations demonstrate that the trading rules you apply would have worked over past market data, not just for a few weeks or months, but over 15 years.

There is no guarantee that the future will be the same as the past, but it is at least an indication that those trading rules would have worked over the past 15 years.

It is not unreasonable to expect that in the future, the market will fluctuate higher as it continues to rise over the next few decades.

What are the future expectations for this trading strategy? Simply, more of the same. The trading rules are outside the market. They are trading rules and procedures that you apply without considering what the market will do. It has none of the potential faults we attribute to many trading strategies that rely on technical indicators or fundamental financial data on the traded companies.

The assumptions my OPPW strategy relies on are:

- there will be a tomorrow;
- TQQQ will continue to fluctuate like it did in the past;
- TQQQ will be as volatile as it has been in the past;
- QQQ will prosper over the coming years.

This TQQQ trading strategy does not exhibit survivorship biases. QQQ, at all times, was composed of the top 100 highest-valued stocks, and these were always survivors, regardless of changes in QQQ's constituent stocks.

Additionally, TQQQ would only leverage what QQQ was at any given time on a daily basis. It is the same as trading DIA, SPY, or QQQ. All three avoid any survivorship bias.

There is no overfitting either since the trading rules are independent of the market's gyrations. How do you optimize your entry if you take all trades at the open on the first trading day of the week for 802 weeks? How do you optimize the market close on Friday if you take all of them?

You designed a game within the game. You trade based on your rules of engagement. Type-C trades allow you to take your bet off the table, and that is a great plus for the strategy. It makes you win the game.

Will you have trades with losses? YES. Approximately 20% of trades will result in losses. However, that also suggests that about 80% of trades won't. Type-C trades should have been the counterpart of Type-B trades and almost cancel them out. However, what we see is that Type-C trades have no losses, leaving all Type-B trades with their accumulating profits.

It's all about you and what you can achieve. It is a long-term endeavor. Your benefits come from applying the strategy over the years, taking all its ups and downs.

It will be a bumpy ride; price volatility will be there, and it will impact your portfolio. Over time (years), you should see your portfolio grow. Give it time, be patient, and persevere. The reward is at the end of the rainbow after having compounded your portfolio return for years.<sup>5</sup>

My OPPW TQQQ trading strategy can be expressed using my equation. It is not often that an equation can accurately explain the general behavior of a trading strategy. We have one in this case. And it also means we have an equal sign on the table.

## MY EQUATION

Based on previous articles, my portfolio equation has relatively few components. Any action I intend to take will impact the variables of the trading strategy. If not, those modifications will be code decoration. The question is: *What can I do to improve the overall outcome of the strategy, given that I need to impact those variables positively?*

Here is that equation again:

$$F(t) = \bar{e} \cdot f_0 \cdot \prod_1^N (1 \pm r_i) = \bar{e} \cdot f_0 \cdot (1 + \bar{r}_+)^{N-\lambda} \cdot (1 - \bar{r}_-)^{\lambda} \quad (1)$$

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<sup>5</sup> To get more acquainted with possible pitfalls in doing simulations, I recommend you read: [Pseudo-Mathematics and Financial Charlatanism](#) by Marcos López de Prado and al.

**Table #1: My Equation Variables**

| Description                           | Variable      | To Improve Outcome | Notes* |
|---------------------------------------|---------------|--------------------|--------|
| Average Exposure rate                 | $\bar{e}$     | Increase           | 1      |
| Initial Capital                       | $f_0$         | Increase           | 2      |
| Number of Trades                      | $N$           |                    | 3      |
| Number of Losing Trades               | $\lambda$     | Reduce             | 4      |
| Number of Winning Trades              | $N - \lambda$ | Increase           | 5      |
| Average Percent Win Per Winning Trade | $\bar{r}_+$   | Increase           | 6      |
| Average Percent Loss Per Losing Trade | $\bar{r}_-$   | Reduce             | 7      |
| Average Portfolio Growth Rate         | $\bar{g}$     | Increase           |        |

Notes: \* *Leverage was not considered in this version of the equation.*

1- To increase performance, we can delay some trade exits, increase the number of winning trades, reenter after an early win, bypass some of the losing trades, bet on correlated trades on days with no positions, and use leverage.

*My last simulation's average exposure rate was 51.52%. Increasing the exposure ( $1 - 0.5152 = 0.4848$ ) would be limited to a 94% increase, which could almost double the outcome. The use of leverage can also raise performance.*

2- The strategy is 100% scalable. Multiplying the initial capital by a factor of ten will result in a tenfold increase in the outcome. Starting with a lower initial capital will also work, as the strategy is scalable, as given in equation (1). It enables someone with a smaller stake to get started and later on add more capital.

*Increasing initial capital could be the easiest way to increase the long-term outcome. Adding leverage can further enhance results.*

3- Increasing the number of trades over the same time interval might increase the total outcome. There is no assurance that just increasing  $N$  is sufficient. It highly depends on the win/loss percent spread. Also, the strategy only makes 52 trades per year, so there is a time component to adding trades. The average holding period per trade is 3.27 days, leaving some room to add trades. The average exposure rate is at 51.52% (see Figure #1 at the end of the article).

4- Decreasing the number of losing trades should increase the overall portfolio results. It may also reduce the average percent loss per losing trade, depending on which trades are taken off. You could also reduce the bet size on potentially losing trades, thereby losing less on losing positions.

5- Increasing the number of winning trades is a positive.

6- Increasing the average percent win per winning trade, even slightly, would increase performance. It is harder to do. It requires higher returns than average to increase



the overall long-term average percent win per winning trade. However, this slight increase in the average percent win per winning trades is compounding over time.

7- Reducing the average percent loss per losing trade would also increase performance. One method would be to reduce the number of losing trades, and another would be to bypass potentially losing trades or set more effective stop-loss procedures to minimize the average loss. It is also part of a compounding function. A small change will have an impact.

## WANTING MORE

From the last article – [A Walk-Forward](#) – we have my portfolio equation for the May 2024 and June 2025 simulations. A projection based on the June 2025 results was also presented for June 2026:

$$\text{May 2024: } 0.5097 \cdot 100000 \cdot (1 + 0.04541)^{380} \cdot (1 - 0.0269)^{362} = \$59,117,542$$

$$\text{June 2025: } 0.5140 \cdot 100000 \cdot (1 + 0.04589)^{407} \cdot (1 - 0.0270)^{392} = \$95,940,688$$

$$\text{June 2026: } 0.5140 \cdot 100000 \cdot (1 + 0.04589)^{407+27} \cdot (1 - 0.0270)^{392+25} = \$162,534,710$$

We could consider the May 2024 simulation as an in-sample (IS) backtest. The June 2025 simulation represents the out-of-sample (OOS) period, whereas the period up to June 2026 is a projection based on the data as of June 2025. Of note, the major average metrics did not change much in the OOS period (see [A WALK-FORWARD](#) for more).

The June 2026 equation is a projection forward based on the portfolio metrics as of June 2025. I added 52 trades: 27 wins and 25 losses, in line with the hit rate of June 2025. Refer to equation (1) above for the structure of my portfolio equation.

The portfolio metrics remained relatively unchanged. It is the number of trades that increased over the period. If we can have an equation to forecast future results solely based on the increase in the number of trades, we should consider it an exceptional portfolio management tool.

I go for things that work. I'll figure out the theory later if there is one. But I will first look to find out how and why it works.

## OTHER STOCK PORTFOLIO EQUATIONS I HAVE USED

We have other equations that can represent a stock portfolio. However, they remain generalizations and theoretical, with no explicit numbers.

For example, we could express equation (1) in terms of a payoff matrix or payoff

vector giving something like:

$$F(t) = F_0 + \sum_{i=1}^N (H \cdot \Delta P) = F_0 + \sum_{i=1}^N (b_{i-1} \cdot r_i)$$

where  $b_{i-1}$  is the bet on the table which is saying the same thing as  $h_i$  in the  $H$  holding matrix. The inventory value is given by:  $h_i \cdot p_i$  for trade  $i$ . We understand that the payoff matrix equation holds, but we do not have the answer to the equation, unlike the three portfolio equations above.

Expressing the trading strategy as a payoff matrix places my OPPW strategy among many others. It is one of the millions of trading strategies that a payoff matrix can represent.

We could identify these matrices using subscripts:  $\sum_{i=1}^N (H \cdot \Delta P)_\zeta$  and compare their respective outputs.

We should also consider that:  $F(t) = F_0 + \sum_{i=1}^N (H \cdot \Delta P)_\zeta = F_0 \cdot (1 + \bar{g}_\zeta)^t$ . Putting all the emphasis on  $\bar{g}_\zeta$ , the achieved average growth rate over the period. Thereby simplifying to a comparative criteria.

By breaking the strategy at the June 2025 results, we could consider the added year or years as the continuation of the trading strategy and its out-of-sample simulation.

Its equation would be:

$$F(t) = F_0 + \sum_{i=1}^n (b_{i-1} \cdot r_i) + \sum_n^N (b_{n-1} \cdot r_n)$$

where you have the portfolio up to  $n$  for June 2025, and the after  $n$ , up to  $N$  in June 2026. We can cut the time interval into as many subsections as we want. We could also express the equation with the bet as the value of the bought position:

$$F(t) = F_0 + \sum_1^N (b_{i-1} \cdot r_i) = F_0 + \sum_1^N (q_{i-1} \cdot p_{i-1} \cdot r_i)$$

where the bet is:  $b_i = q_i \cdot p_i$ , is the quantity of shares bought multiplied by the trade price.

We could express the average gain per trade  $\bar{x}$  as:

$$\bar{x} = \frac{\sum_1^N (H \cdot \Delta P)}{N} = \frac{\sum_1^N (b_{i-1} \cdot r_i)}{N} = \frac{\sum_1^N (q_{i-1} \cdot p_{i-1} \cdot r_i)}{N}$$

as  $N$  increases,  $\bar{x}$ , the average profit per trade should stabilize towards its long-term average.

However, it is expected that this long-term average will increase with time, on average, since you are dealing with the outcome of an exponential function. It is a serious advantage in a trading strategy.

Instead of being hit with the Law of Diminishing Returns, you gain the structural advantage of a rising long-term CAGR. This was expressed earlier in prior articles on the OPPW (refer, for instance, to my articles: **THE GAME YOU WILL WIN** and **THE EXPECTED UNEXPECTED**).

The part of interest in the above expression is the payoff vector:  $\sum_1^N (q_{i-1} \cdot p_{i-1} \cdot r_i)$  which gives the total profit or loss generated from the sequence of the  $N$  trades executed by the trading strategy. To recall, in my version of the OPPW strategy, the number of trades  $N$  increases by one each week.

The return on a taken position at  $(i - 1)$  is  $\pm r_i$ . It has a quasi-random distribution. A trade can last one week at most and could be summarized as  $\bar{r}$  for a large number of trades such as, in this case,  $N$ .

You might put your portfolio on the table, but your bet is for  $\pm r_i$  since it is only the percent of your trade you could win or lose.

The position  $(q_{i-1} \cdot p_{i-1})$  is part of an exponential function. As  $i$  increases, the average position size should increase exponentially in sync with the portfolio value. The  $\pm r_i$  could be averaged over the period using  $\frac{\sum_{i=1}^N \pm r_i}{N} = \bar{r}$ .

You can also get the average return rate from rearranging the portfolio equation:

$$\left[ \frac{F_0 + \sum_1^N (q_{i-1} \cdot p_{i-1} \cdot r_i)}{F_0} \right]^{\frac{1}{N}} - 1 = \bar{r} \quad (2)$$

This again requires you reach  $N$  and have the data for each trade. Nonetheless, you could replace  $\pm r_i$  by its average value  $\bar{r}$  over the period:  $F(t) = F_0 \cdot (1 + \bar{r})^N$ .

Technically, knowing  $\bar{r}$  after the fact might be useless. But, it is not the case.

What you want is to have it before you start to make good use of it. And that is where your simulation can help as long as the number of trades is sufficiently large, like in this case.

It will not make you any money to have  $\bar{r}$  characterize the past average growth rate, but those functions will have a future. And if  $N$  is large enough, our simulated data might be a good enough approximation that will tend to what the expected future value of  $\tilde{r}$  might be, as was used in the June 2026 portfolio extrapolation. This would give:  $F(t) = F_0 \cdot (1 + \tilde{r})^{N+\theta}$  where  $\theta$  is the number of added trades, and where  $\tilde{r}$  would tend to  $\bar{r}$ .

This long-term average return becomes critical as  $\tilde{r} \rightarrow \bar{r}$ . It resumes all the trading activity that has taken place over the years. If you know the first 15 years that generated  $\bar{r}$ , could you not expect that  $\tilde{r}$  might continue within a tight range around  $\bar{r}$  in the future?

We have an exponential function with an outcome that should continue to grow in the future:  $F(t) = F_0 \cdot (1 + \tilde{r})^{N+\theta}$ , where again  $\theta$  is the number of added trades.

We will know the answer to the June 2026 forecast in June 2026. We have no tools to assure us that that future projection will hold. All we can do is wait for it.

However, as the number of trades increases over the coming year, we will be able to visualize, week by week, the divergence from the June 2025 average return per week. Notice that from the May 2024 to the June 2025 simulation – the out-of-sample period – the average return per trade stayed the same (1.02% per trade). A further indication of what that number might be in June 2026.

We could use an old gaming formula to determine probable expectancy, such as:

$$\text{expectancy} = \left( \frac{W}{T} \cdot AWR \right) - \left( \frac{L}{T} \cdot ALR \right)$$

where  $W$ , is the number of winning trades,  $T$  the total number of trades,  $AWR$  the average winning rate,  $L$ , the number of losing trades, and  $ALR$  the average losing rate.

We could use the same variables as in equation (1) and have:

$$\text{expectancy} = \left( \frac{N - \lambda}{N} \cdot \bar{r}_+ \right) - \left( \frac{\lambda}{N} \cdot \bar{r}_- \right)$$

Based on the June 2025 portfolio metrics we would have:

$$\text{expectancy} = \frac{407}{799} \cdot 0.04589 - \frac{392}{799} \cdot 0.0270 = 0.010129$$

which gives an average return rate close to the simulation results ( $\sim 1.01\%$  per trade).

For the June 2026 results, we would have, with the added 27 winning and 25 losing trades:

$$\text{expectancy} = \frac{407 + 27}{799 + 52} \cdot 0.04589 - \frac{392 + 25}{799 + 52} \cdot 0.0270 = 0.010173$$

again stressing that the average percent win per trade might not change much after the added 52 trades (one year).

All that would be required is for the market, in general, to continue behaving as it has on average over its past 15-year history, likewise, for the OPPW trading strategy.

## PROPOSED PROGRAM ENHANCEMENTS

Before considering the impact of the program changes on future market data, I must backtest the modifications on historical data to demonstrate that they can have an effect on past data and be justifiable.

If your enhancements do not modify past results or do not exceed current simulation returns, you will be on the wrong track or dealing with cosmetic or non-relevant changes.

Adding new procedures or modifying the existing ones should have an impact on the strategy, including its future outcome as expressed before:

$$F(t) = F_0 + (1 + \nu) \cdot \left[ \sum_{i=1}^n (b_{i-1} \cdot r_i) + \sum_n^N (b_{n-1} \cdot r_n) \right]$$

where  $n$  is the breakpoint between past and future market data. The separation could be for the backtest period followed by the live phase of any trading program.

Nonetheless, a question should be asked: do we want a linear or an exponential improvement? The difference is a slight change to the above equation:

$$F(t) = F_0 + (1 + \nu)^N \cdot \left[ \sum_{i=1}^n (b_{i-1} \cdot r_i) + \sum_n^N (b_{n-1} \cdot r_n) \right]$$

but it is positioned where it could make quite a difference.

The improvements in the backtest might not be sustainable in the future if they only address past anomalies or outliers.

These might not happen in the future phase of the program. Some patterns in the live portion of the program might have never happened in the past. Program modifications should be general, applying to both phases of the program, especially the forward period.

We cannot make any money on a backtest; all it can provide is information on the general behavior of the trading strategy facing uncertainty. To gain that information, you need a large  $N$ , a number of trades sufficiently large to achieve statistical significance.

It is letting the trading strategy reveal how it will behave in the face of uncertainty.

In this case, I use the 15 years of weekly trades to average the strategy's type of trade distribution. We know that the future will start tomorrow, and therefore, we will have to restart with a new initial capital. Just as we did at the beginning of the simulation.

To our advantage, we have 15 years of data to validate our future projections, as those future 15 years will most likely resemble the past 15, especially since the trading procedures involve a sequence of almost independent bets.

The method used to improve  $\nu$  in the equation above is a matter of skills. However, regardless of the intended additional procedure, relying on past anomalies might not improve future results; nonetheless, these improved methods will have to work, including in the past.

It still all gets down to  $\bar{g}_\nu$ , the growth rate of the chosen trading strategy  $H_\nu$ . It is the most straightforward metric ( $\bar{g}_\nu$ ) to use in determining the outcome of a long-term trading strategy.

We can compare the results of numerous strategies based on  $\bar{g}_\nu$ . It becomes a simple comparison of growth rates:

$$\bar{g}_1 \leq \bar{g}_2 \leq \dots \leq \bar{g}_{\nu-1} \leq \bar{g}_\nu$$

It is finding the strategy with the highest potential return from a set of strategies:  $\max(\bar{g}_1, \bar{g}_2, \dots, \bar{g}_{\nu-1}, \bar{g}_\nu)$ .

What we are interested in is achieving the highest possible return on investment in the future. That is not the same as a potential or estimated long-term return. What you want is  $\mathbb{E}[\tilde{g}_\nu]$ , the highest expected long-term return or any other in its vicinity.

Choosing the best trading strategy for the future is not a simple task. The future remains uncertain. If the strategy  $H_\nu$  is chosen based on its past trading history, we would need a sufficient number of trades to make it statistically significant. A trading strategy with only a few trades cannot claim long-term averages (due to insufficient data).

In the case of my OPPW strategy, we transformed the investment philosophy into a game within the game. Consider it a long-term investment or a game with a long sequence of positions having a quasi-normal return distribution.

You are facing a game if you get close to the outcome of a coin toss. The more the probable outcome is to a 50/50 proposition, the more you have to consider that you might be facing something similar to a game of chance having 50% odds.

However, the slight deviation from the 50/50 proposition could give us an edge, and that edge, we can exploit. My latest simulation had a 50.87% hit rate, which is extremely close to the odds of a coin flip.

The point is that you will need more than chance to outperform market averages.

Regardless of the program modifications, the objective is not only to maintain the growth rate but also to increase it over time. Already, the projections hint at this possibility, as indicated in the above equations (see: [MY EQUATION](#)).

## A BETTER UNDERSTANDING

What is first needed is a better understanding of what the strategy does to then find what could improve performance without necessarily adding risk. This is true for any trading strategy. All trading strategies operate under uncertainty, and their respective outcomes must follow equation (1), which in turn also implies equation (2).

TQQQ is a 3x-leveraged ETF based on QQQ. It attempts to replicate QQQ's daily return by a factor of three. It is reset every day. Our security against bankruptcy stems from the underlying ETF, QQQ. Its top 100 holdings are some of the highest-valued US companies. No stock, while part of QQQ, has ever gone bankrupt. Once a stock is removed from the top 100 for any reason, another will replace it with one that has equal or better prospects.

It also means that QQQ will continue to grow as the world's economies expand. And as a consequence, so will TQQQ.

A long-term upward trend for QQQ also means a long-term upward trend for TQQQ. And since TQQQ is 3x-leveraged, it should also be more volatile. It should also generate about three times more in return.

If QQQ can generate a 15% CAGR over the long term, we should expect TQQQ to produce a 45% CAGR or thereabouts. See the [TQQQ](#) website page for its compounded return since inception in 2010.

The price to pay for higher returns is the increased volatility and larger price variations in our portfolio value. However, we should consider the long-term benefits and determine if the higher return is sufficient compensation for the added stress and anxiety. It is up to you to assess the risks and benefits.

Let's start with the June 2025 portfolio equation from my previous article, which included 799 trades spanning slightly over 15 years. I will increase the hit rate to approximately 58% while maintaining the average percent win and percent loss per trade.

We can transform the June 2025 portfolio equation, restated here:

$$0.5140 \cdot 100000 \cdot (1 + 0.04589)^{407} \cdot (1 - 0.0270)^{392} = \$95,940,688$$

into its new estimate with its 58% hit rate giving us the expectation of a probable outcome based on the improved hit rate.

$$0.5140 \cdot 100000 \cdot (1 + 0.04589)^{452} \cdot (1 - 0.0270)^{328} = \$3,471,614,297$$

Improving the hit rate is one of the objectives to enhance this strategy. As a side effect, it would also increase the expected overall CAGR to 100.7%.

The potential performance increase can make the search for a higher hit rate worthwhile. Over those 15+ years, you still had 799 trades. We can estimate for one more year under the same conditions.

$$0.5140 \cdot 100000 \cdot (1 + 0.04589)^{452+30} \cdot (1 - 0.0270)^{328+22} = \$7,757,549,302$$

Making that added year, under the same trading conditions, equally worthwhile with its 102.1% CAGR over the period.

It is where we should start raising questions. You just started, and already you can see problems in achieving those numbers. It begins with the all-in scenario.

In the beginning, putting \$100k on the table does not appear as such a big deal. But, as the portfolio increases in value, that bet grows exponentially. Where after 15 years, your bet could be in the tens of millions, if not billions.

Will you have the same determination to put it all on the table each week to satisfy the above equation and the hit rate improvement? Still, you only improved from a 51% hit rate to 58%. It should not be considered a significant move on your part. However, the impact is considerable, even if we are dealing with ballpark figures.

Nonetheless, these ballpark figures are guiding lights. First, we must demonstrate that the underlying trends were effective in the past, based on the market data. For one thing, there is room for improvement in the hit rate, as nearly half of the trades are not producing profits.

When you will start your program, based on the presented equations, your initial capital might be \$100k. And with an \$80 price on TQQQ, your first trade will be for 1,250 shares on an ETF that trades, on average, 100 million shares a day. It means you will have little impact and go unnoticed. Your trading will not influence the market for at least a decade. It gives you some ten years and even more to figure out other means of doing the same thing and further improve the strategy.

But increasing the hit rate is not the only thing you can do. Another area where the impact will be considerable is in improving the average percent win per winning trade. The change does not need to be large. It is part of an exponential function.

For example, taking the June 2025 equation and increasing the average percent win per winning trade by 3% would give:

$$0.5140 \cdot 100000 \cdot (1 + 0.04589 \cdot (1 + 0.03))^{407} \cdot (1 - 0.0270)^{392} = \$163,875,998$$

And using the improved hit rate equation above would give:

$$0.5140 \cdot 100000 \cdot (1 + 0.04589 \cdot (1 + 0.03))^{452} \cdot (1 - 0.0270)^{328} = \$7,548,694,088$$



Yet, we only added a 3% improvement on the average percent win per winning trade without touching reducing the average percent loss per losing trade. It increased the average percentage win per winning trade from 4.589% to 4.726%. Nothing we could call significant, and yet, the outcome speaks volumes.

There is considerable room for improvement in my OPPW trading strategy. A further improvement would be to reduce the average percent loss per losing trade: say again by 3%, this would give:

$$0.5140 \cdot 100000 \cdot (1 + 0.04589 \cdot (1 + 0.03))^{452} \cdot (1 - 0.0270 \cdot (1 - 0.03))^{328} = \$9,917,624,265$$

Small decisions that have a significant impact on overall results. Pushing for more than a 3% improvement on the average percent win and loss per trade would increase overall performance further. The numbers do show that the quest for those improvements is more than worthwhile.

The strategy will not win all its bets; you can be assured of that. However, over the long term, the portfolio value is expected to rise (see Figure #1 below, which is a continuation of the June 2024 simulation).

By making a few changes to the trading procedures, we uncover a huge potential for this trading strategy. Still, it would take 15 to 16 years to get there.

The future remains uncertain.

Based on the trading procedures used, and based on the viability of QQQ in the future, and based on your gaming procedures, you should be able to extract extraordinary results from your future trading. You do not need a billion dollars to live comfortably and take care of yourself and your loved ones.

My next step is to implement some of those improvements to the program, taking into account the stakes involved. And also orienting in which direction I should go.

Hopefully, it will also help you do the same. As mentioned, my OPPW strategy is not alone; many could compete with it and do better.

At the very least, you have a starting point. It is all up to you.

Meanwhile, here are the portfolio metrics from the June 25, 2025, simulation.

**Figure #1: OPPW June 25, 2025 Simulation.**

Metrics Report

Equity Curve

Select ScoreCard: Basic ScoreCard

|                          | Strategy       | Benchmark (QQQ) |
|--------------------------|----------------|-----------------|
| Summary                  |                |                 |
| Starting Capital         | 100,000.00     | 100,000.00      |
| Profit                   | 100,472,196.77 | 1,155,519.85    |
| Profit %                 | 100,472.20%    | 1,155.52%       |
| Profit Per Bar           | 15.62          | 14.95           |
| APR                      | 56.81%         | 17.90%          |
| Std Dev of Annual Ret... | 154.58%        | 20.59%          |
| Exposure                 | 51.52%         | 99.99%          |
| Maximum Exposure         | 99.91%         | 100.00%         |
| EAR                      | 110.27%        | 17.90%          |
| Alpha (α)                | 34.08          | -               |
| Beta (β)                 | 1.29           | -               |
| Sharpe Ratio             | 1.26           | 0.95            |
| Sortino Ratio            | 2.12           | 1.57            |
| WL Score                 | 49.78          | 11.52           |
| Slope of Equity Curve    | 19,486.86      | 266.12          |
| Interest, Commission...  |                |                 |
| Commission Paid          | 0.00           | 0.00            |
| Cash Interest Received   | 0.00           | 0.00            |
| Margin Interest Paid     | -0.00          | -0.00           |
| Maximum Margin Used      | 1.00           | 1.00            |
| Dividends Received       | 0.00           | 0.00            |
| Total Currency Adj       | 0.00           | 0.00            |

Metrics Report

Equity Curve

Select ScoreCard: Basic ScoreCard

|                           | Strategy       | Benchmark (QQQ) |
|---------------------------|----------------|-----------------|
| Positions                 |                |                 |
| Position Count            | 802            | 1               |
| Avg Profit                | 125,277.05     | 1,155,519.85    |
| Avg Profit %              | 1.02%          | 1,155.85%       |
| Profit Factor             | 1.46           | -               |
| Payoff Ratio              | 1.71           | -               |
| Avg Bars Held             | 3.27           | 3,865.00        |
| Avg Trades Per Month      | 8.67           | 0.01            |
| Avg Bars Held as % of...  | 0.08           | 99.97           |
| Largest Bars Held as %... | 0.13           | 99.97           |
| NSF Position Count        | 0              | 0               |
| NSF Ratio                 | 0.00           | 0.00            |
| Drawdown                  |                |                 |
| Max Drawdown              | -35,133,550.71 | -333,824.80     |
| Max Drawdown Date         | 3/28/2025      | 12/28/2022      |
| Max Drawdown %            | -54.86%        | -35.62%         |
| Max Drawdown % Date       | 7/6/2010       | 12/28/2022      |
| Recovery Factor           | 2.86           | 3.46            |
| Profitable Positions      |                |                 |
| Count                     | 408            | 1               |
| Max Consecutive           | 9              | 1               |
| % Profitable              | 50.87%         | 100.00%         |
| Avg Profit                | 784,726.43     | 1,155,519.85    |
| Avg Profit %              | 4.61%          | 1,155.85%       |
| Average Bars Held         | 3.00           | 3,865.00        |
| Unprofitable Positions    |                |                 |
| Count                     | 394            | 0               |
| Max Consecutive           | 15             | 0               |
| % Unprofitable            | 49.13%         | 0.00%           |
| Avg Loss                  | -557,604.53    | -               |
| Avg Loss %                | -2.69%         | -               |
| Avg Bars Held             | 3.54           | -               |

([Click here to enlarge](#))

## Related Papers and Articles:

The One Percent Per Week TQQQ Trading Strategy: A WALK-FORWARD  
The One Percent Per Week TQQQ Trading Strategy: FINANCING THE OPPW  
The One Percent Per Week TQQQ Trading Strategy: THE GAME YOU WILL WIN  
The One Percent Per Week TQQQ Trading Strategy: THE EXPECTED UNEXPECTED  
The One Percent Per Week TQQQ Trading Program: Making Improvements, and Part II  
The One Percent Per Week TQQQ Trading Strategy: MY EQUATION

One Percent Per Week Strategy: Some Trading Habits  
One Percent Per Week Strategy: Trade Distribution

THE TQQQ 3x-LEVERAGED SCENARIO

For Your Retirement, You Need To Win. It Is Not A Wish

You Can Make It Big, Real Big. If You Want      *With Excel template.*

Make Your First \$50M Before You Retire

Your Trading Rules Matter

Gain Your Financial Freedom      *Free book with WL8 program.*

High Stock Portfolio Returns? Easy

Stock Trading Strategy Alpha Generation

There Is Always A Better Retirement Fund: Part I, and Part II

The One Percent a Week Stock Trading Program: Part VII, and Part VIII

The One Percent a Week Stock Trading Program: Part V, and Part VI

The One Percent a Week Stock Trading Program: Part III, and Part IV

The One Percent a Week Stock Trading Program: Part I, and Part II

The Long-Term Stock Trading Problem: Part I, and Part II

QQQ To The Rescue

Take the Money and Keep it – II

Use QQQ - Make the Money and Keep IT